Microsoft Corporation (MSFT)

$401.72 (Stock Price as of 02/26/2026)

Price Target (6-12 Months): **$422.00**

Long Term: 6-12 Months	**Zacks Recommendation:** (Since: 11/18/24) Prior Recommendation: Underperform	**Neutral**
Short Term: 1-3 Months	**Zacks Rank:** (1-5)	**3-Hold**
	Zacks Style Scores:	VGM:C
	Value: D | Growth: C | Momentum: B	

Summary

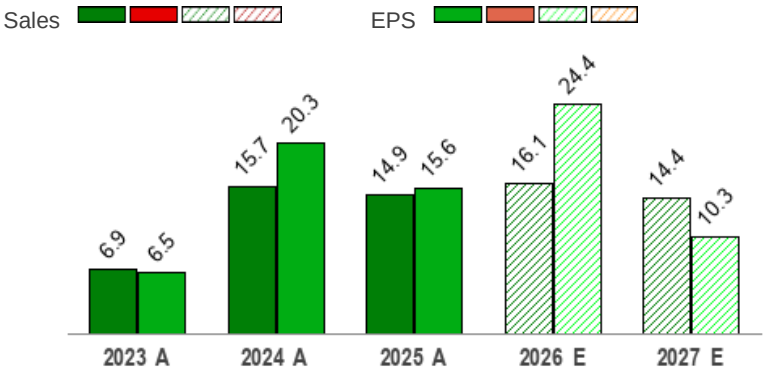
Microsoft capitalizes on AI business momentum and Copilot adoption alongside accelerating Azure cloud infrastructure expansion. Strong Office 365 Commercial demand has been propeling Productivity and Business Processes revenue growth. ARPU is increasing through E5 and M365 Copilot uptake across key segments. Strategic execution through expanding scale and enterprise customer growth is driving non-AI services. Conversely, Azure growth guidance projects continued deceleration to 37-38% for Q3, suggesting demand saturation despite massive infrastructure investments. Customer concentration risk intensifies with 45% of backlog tied to OpenAI. Microsoft confronts intense competition from AWS and Google Cloud and escalating regulatory scrutiny. Capacity constraints persisting through fiscal year-end limit revenue potential despite unprecedented spending.

Price, Consensus & Surprise(1)

Data Overview

52 Week High-Low	**$555.45 - $344.79**
20 Day Average Volume (sh)	**40,372,840**
Market Cap	**$2,983.0 B**
YTD Price Change	**-16.9%**
Beta	**1.08**
Dividend / Div Yld	**$3.64 / 0.9%**
Industry	**Computer - Software**
Zacks Industry Rank	**Top 34% (82 out of 243)**
Last EPS Surprise	**6.7%**
Last Sales Surprise	**1.3%**
EPS F1 Est- 4 week change	**3.0%**
Expected Report Date	**04/29/2026**
Earnings ESP	**0.6%**
P/E TTM	**26.1**
P/E F1	**23.7**
PEG F1	**1.8**
P/S TTM	**9.8**

Sales and EPS Growth Rates (Y/Y %)(1)



Sales Estimates (millions of $)(1)

	Q1	Q2	Q3	Q4	Annual*
2027	88,032 E	92,380 E	93,312 E	99,859 E	374,105 E
2026	77,673 A	81,273 A	81,396 E	86,893 E	327,007 E
2025	65,585 A	69,632 A	70,066 A	76,441 A	281,724 A

EPS Estimates(1)

	Q1	Q2	Q3	Q4	Annual*
2027	4.42 E	4.58 E	4.60 E	4.89 E	18.72 E
2026	4.13 A	4.14 A	4.05 E	4.13 E	16.97 E
2025	3.30 A	3.23 A	3.46 A	3.65 A	13.64 A

*Quarterly figures may not add up to annual.

1) The data in the charts and tables, including the Zacks Consensus EPS and sales estimates, is as of 02/26/2026.
2) The report's text and the price target are as of 02/27/2026.

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Overview

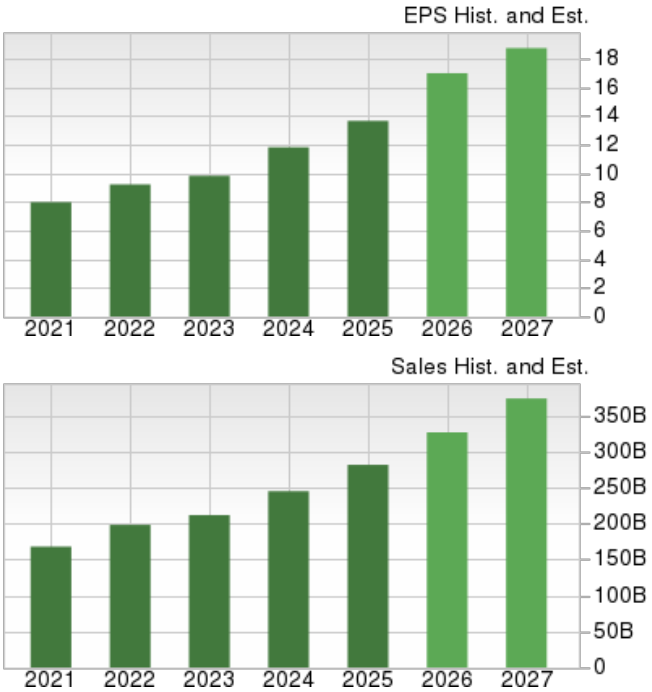
Microsoft Corporation is one of the largest broad-based technology providers in the world. The company dominates the PC software market with more than 73% of the market share for desktop operating systems.

The company's Microsoft 365 application suite is one of the most popular productivity software globally. It is also one of the prominent public cloud providers that can deliver a wide variety of infrastructure-as-a-service (IaaS) and platform-as-a-service (PaaS) solutions at scale.

Redmond, WA-based Microsoft's products include operating systems, cross-device productivity applications, server applications, business solution applications, desktop and server management tools, software development tools, and video games. Its software solutions and hardware devices are playing an important role in developing the metaverse.

The company designs and sells PCs, tablets, gaming and entertainment consoles, other intelligent devices, and related accessories. Through Azure, it offers cloud-based solutions that provide customers with software, services, platforms and content.

Microsoft reported revenues of $281.7 billion in fiscal 2025. The company reports operations under three segments: Productivity & Business Processes, Intelligent Cloud and More Personal Computing.



As of 02/26/2026

Productivity & Business Processes accounted for 42.9% of fiscal 2025 revenues. The segment offers productivity and collaboration tools and services including Office 365, Dynamics business solutions, Teams, Relationship Sales solution, Power Platform and LinkedIn.

Intelligent Cloud, which includes Azure cloud services, contributed 37.7% of fiscal 2025 revenues.

Microsoft closed its acquisition of Activision Blizzard on October 13, 2023 for $75.4 billion. Activision Blizzard has been integrated as a sibling division to Xbox Game Studios and ZeniMax Media.

More Personal Computing represented 19.4% of fiscal 2025 revenues. The segment comprises mainly the Windows, Gaming (Xbox hardware, Xbox software and services), Devices (Surface, PC accessories, and other intelligent devices) and Search (Bing and Microsoft Advertising) businesses.

As of 02/26/2026

Reasons To Buy:

Microsoft’s cloud dominance with Azure, AI leadership, diversified revenue streams and record contract backlog are tailwinds.

- Microsoft's Azure platform maintains a commanding position in the enterprise cloud market, capturing approximately 25% market share behind only AWS. The company's comprehensive cloud ecosystem benefits from deep integration with existing Microsoft enterprise products, creating substantial switching costs and customer stickiness. Azure's infrastructure capabilities are particularly well-suited for hybrid cloud deployments, addressing the complex needs of large organizations transitioning legacy systems. The platform's consistent double-digit revenue growth demonstrates sustained enterprise demand, while massive capital investments in data center expansion position Microsoft to capture increasing cloud workloads. This infrastructure dominance translates into predictable, high-margin recurring revenue that should strengthen further as digital transformation accelerates across industries globally.

- Microsoft has strategically embedded artificial intelligence capabilities throughout its entire product ecosystem, from Azure AI services to Copilot features in Office 365 and Dynamics applications. The company's substantial investment in OpenAI provides exclusive access to leading-edge language models, creating a significant competitive moat in enterprise AI adoption. Unlike competitors developing standalone AI products, Microsoft monetizes AI through existing customer relationships, reducing customer acquisition costs while expanding revenue per user. Early enterprise adoption metrics suggest strong willingness to pay premium pricing for AI-enhanced productivity tools. The company's vast computing infrastructure and data resources create sustainable advantages in training and deploying AI models at scale, positioning Microsoft to capture substantial value as businesses increasingly prioritize AI implementation.

- Microsoft's business model spans cloud infrastructure, productivity software, gaming, professional networking, and advertising, creating exceptional revenue diversification that insulates performance from sector-specific downturns. The subscription-based model across Office 365, Azure, and Dynamics generates highly predictable recurring revenue with strong renewal rates exceeding industry averages. This diversification extends geographically, with significant revenue contributions across North America, Europe, and Asia-Pacific markets, reducing dependence on any single economy. The company's enterprise focus provides exposure to corporate IT budgets, which typically demonstrate greater stability than consumer spending during economic uncertainty. Gaming assets including Xbox and Activision Blizzard add countercyclical consumer entertainment exposure, while LinkedIn provides unique positioning in professional services, collectively creating a balanced portfolio resistant to isolated market disruptions.

- Microsoft's commercial remaining performance obligation surged to $625 billion with weighted average duration of 2.5 years, providing exceptional forward revenue visibility. Management indicated roughly 25% will convert to revenue within 12 months, up 39% year-over-year, demonstrating accelerating monetization of this backlog. Major commitments from OpenAI and Anthropic totaling over $280 billion validate Azure's AI infrastructure leadership while the remaining 55% of RPO grew 28%, reflecting broad-based demand across industries and geographies. This unprecedented backlog de-risks near-term growth projections and supports management's fiscal third quarter revenue guidance range. The short-duration nature of these contracts aligns infrastructure investments with revenue recognition timelines, reducing execution risk while ensuring sustained double-digit growth rates throughout fiscal 2026.

Reasons To Sell:

> Microsoft faces stiff competition in the cloud market, legal and regulatory challenges beside an alarming capital expenditure trajectory.

- Microsoft's Azure faces relentless pressure from formidable competitors wielding substantial resources and innovation capabilities. Amazon Web Services maintains its dominant market leadership with superior infrastructure and broader service offerings, while Google Cloud aggressively undercuts pricing strategies to capture market share. The cloud infrastructure market has become increasingly commoditized, compressing margins as hyperscalers engage in destructive price wars. Additionally, emerging players and specialized cloud providers are fragmenting the market, targeting niche segments where Microsoft lacks differentiation. This competitive intensity forces continuous investment in infrastructure and services, potentially eroding profitability. The company must simultaneously defend its position against established rivals while fending off disruptive newcomers, creating a challenging environment that threatens Azure's growth trajectory and Microsoft's ability to sustain premium valuations in this critical business segment.

- Microsoft confronts escalating regulatory challenges across multiple jurisdictions that threaten its operational flexibility and financial performance. Antitrust investigations in the European Union scrutinize its cloud computing practices and bundling strategies, potentially resulting in substantial fines and mandated business model changes. The Federal Trade Commission's opposition to its Activision Blizzard acquisition, despite eventual approval, signals heightened regulatory skepticism toward big tech consolidation. Furthermore, data privacy regulations worldwide impose costly compliance requirements and restrict lucrative data monetization opportunities. The UK's Competition and Markets Authority continues examining Microsoft's market power in cloud services and artificial intelligence partnerships. These regulatory headwinds create unpredictable legal expenses, operational constraints, and reputational damage. The possibility of forced divestitures, behavioral remedies, or significant financial penalties introduces substantial uncertainty into Microsoft's strategic planning and threatens shareholder value through both direct costs and constrained growth opportunities.

- Microsoft's capital spending has reached alarming levels, raising serious concerns about return on investment and financial sustainability. Microsoft expects the fiscal 2026 capital expenditure growth rate to be higher than fiscal 2025, driven by accelerating demand and a growing RPO balance. The company's infrastructure buildout to support artificial intelligence capabilities and cloud expansion requires tens of billions in annual capital expenditures, dramatically exceeding historical spending patterns. This aggressive investment strategy strains cash flow generation and limits financial flexibility for shareholder returns and strategic opportunities. The extended payback periods for these massive infrastructure investments introduce significant execution risk, particularly if AI monetization disappoints or cloud growth decelerates. Furthermore, rapid technological change threatens to render current investments obsolete before adequate returns materialize. Competitors face identical infrastructure demands, creating an expensive arms race with uncertain economic outcomes. This capital intensity fundamentally alters Microsoft's business model, transforming it from an asset-light software company into a capital-intensive infrastructure operator with compressed returns and heightened financial risk that justifies valuation compression.

- Microsoft's financial position has weakened considerably, reflecting deteriorating fundamentals that warrant investor concern. The company maintains substantial debt levels accumulated through acquisitions and share repurchases, reducing financial flexibility during potential economic downturns. Rising interest rates increase debt servicing costs, directly impacting profitability and cash available for productive investments. The company's current ratio and quick ratio have compressed, indicating potential liquidity constraints if operating conditions deteriorate. Additionally, goodwill and intangible assets comprise significant portions of total assets, creating impairment risks if acquired businesses underperform expectations. Working capital metrics reveal inefficiencies in cash conversion cycles and operational management. The combination of elevated leverage, rising interest expenses, and asset quality concerns suggests Microsoft has sacrificed balance sheet strength to fund growth initiatives and shareholder distributions. This financial fragility leaves limited cushion to weather economic challenges or competitive pressures, increasing downside risk for equity holders.

Last Earnings Report

Microsoft Q2 Earnings Beat Estimates as Cloud and AI Drive Results

FY Quarter Ending	6/30/2025
Earnings Reporting Date	Jan 28, 2026
Sales Surprise	1.29%
EPS Surprise	6.70%
Quarterly EPS	4.14
Annual EPS (TTM)	15.38

Microsoft reported second-quarter fiscal 2026 earnings of $4.14 per share on a non-GAAP basis (excluding OpenAI investment impacts), which beat the Zacks Consensus Estimate by 6.7% and increased 24% on a year-over-year basis and 21% in constant currency (cc).

Revenues of $81.3 billion increased 17% year over year and beat the Zacks Consensus Estimate by 1.3%. At cc, revenues grew 15% year over year, showcasing strong demand for cloud and AI offerings.

Commercial bookings surged 230% (228% in cc), significantly exceeding projections. This exceptional growth reflected substantial Azure commitments alongside continued expansion in large contracts exceeding $100 million for both Azure and Microsoft 365. The commercial remaining performance obligation reached $625 billion, marking 110% year-over-year growth, with the balance nearly tripling over a two-year period.

Microsoft Cloud revenues totaled $51.5 billion, crossing the $50 billion quarterly threshold for the first time and growing 26% year over year (24% in cc). The Microsoft Cloud gross margin percentage was 67%, declining slightly from the prior year due to ongoing AI infrastructure investments, partially offset by efficiency improvements.

Following the earnings announcement, Microsoft shares lost 7% in extended trading despite beating revenue and earnings estimates. Investor concern centered on guidance indicating continued high capital expenditure requirements and the company's acknowledgment of remaining capacity-constrained through at least the fiscal year-end.

Segment Performance

The **Productivity & Business Processes** segment generated $34.1 billion in revenues, representing 42% of total revenues. The segment grew 16% year over year (14% in cc), driven by strong performance in Microsoft 365 commercial products and cloud services alongside Microsoft 365 consumer offerings.

Microsoft 365 commercial cloud revenues increased 17% (14% in cc). Growth stemmed from both average revenue per user expansion and seat additions, with ARPU increases again led by E5 subscriptions and Microsoft 365 Copilot adoption.

Microsoft 365 commercial paid seats grew 6% year over year, with installed base expansion occurring across all customer segments, though concentrated primarily in small and medium business offerings and frontline worker categories.

Microsoft 365 consumer cloud revenues jumped 29% (27% in cc), propelled by ARPU growth. Microsoft 365 consumer subscriptions expanded to more than 90 million users.

LinkedIn revenues advanced 11% (10% in cc), with Marketing Solutions driving growth. The Talent Solutions business faced ongoing headwinds from persistent weakness in hiring markets.

Dynamics 365 revenues rose 19% (17% in cc), demonstrating continued expansion across all workloads within the business applications portfolio.

Segment gross margin dollars totaled $28.0 billion, up 17.3% year over year. Gross margin percentage reached 82.1%, improving from the prior-year period. These gains were driven by efficiency improvements in Microsoft 365 Commercial cloud that partially offset AI investments, including impacts from growing Microsoft 365 Copilot usage. Operating expenses totaled $7.4 billion, rising 6.1% year over year. Operating income reached $20.6 billion, expanding substantially. Operating margin improved to 60.4%, up from the prior-year period.

The **Intelligent Cloud** segment contributed $32.9 billion in revenues, accounting for 40.5% of total revenues. The segment reported 29% growth year over year (28% in cc), powered by Azure and on-premises server business performance.

Azure and other cloud services revenues surged 39% (38% in cc), significantly exceeding expectations. This acceleration resulted from continued strong growth in the core infrastructure business, primarily from the company's largest enterprise customers. Azure AI services revenues performed generally in line with internal projections.

The on-premises server business generated modest revenue growth of 1% (relatively unchanged in cc), performing ahead of expectations primarily due to transactional purchasing activity around Windows Server 2025 releases.

Segment gross margin dollars totaled $19.3 billion, up 19.8% year over year. Gross margin percentage reached 58.8%, declining from the prior-year period due to AI infrastructure investments that were partially offset by efficiency improvements in Azure operations. Operating expenses totaled $5.5 billion, up 3.4% year over year. Operating income reached $13.9 billion, growing substantially. Operating margin was 42.2%, declining only slightly year over year as increased AI investments were largely offset by improved operational leverage.

The **More Personal Computing** segment generated $14.3 billion in revenues, representing 17.6% of total revenues. Revenues decreased 3% year over year, impacted primarily by gaming segment performance.

Windows OEM and Devices revenues increased 1% year over year (relatively unchanged in cc). This performance reflected some benefit from

elevated inventory levels that remained in the channel.

Search and news advertising revenues excluding traffic acquisition costs increased 10% (9% in cc), driven by volume growth and continued benefits from third-party partnerships.

Gaming revenues decreased 5% (6% in cc). Xbox content and services revenues declined 5% (6% in cc), falling below expectations due to weaker first-party content performance with impacts felt across the platform.

Segment gross margin dollars totaled $7.9 billion, increasing 1.6% year over year. Gross margin percentage reached 55.8%, improving from the prior-year period, driven by business mix shifts toward higher-margin offerings. Operating expenses totaled $4.1 billion, rising 6.0% year over year. Operating income reached $3.8 billion, declining slightly from the prior year. Operating margin was 26.7%, down from the prior-year period.

AI Platform and Technology Advancements

Microsoft continued expanding its AI infrastructure and platform capabilities throughout the second quarter. Azure AI Foundry now serves a customer base exceeding 80,000 organizations, including 80% of Fortune 500 companies, with access to over 11,000 models from various providers.

The company now counts 900 million monthly active users of AI features across its products, with over 150 million monthly active users of first-party Copilots. More than 90% of Fortune 500 organizations now utilize Microsoft 365 Copilot, with major enterprise customers deploying tens of thousands of seats.

Partners like Adobe, Databricks, Genspark, Glean, NVIDIA, SAP, ServiceNow, and Workday are already integrating Agent 365.

Microsoft Fabric revenues grew 60%, outpacing other data and analytics platforms in the industry, with the customer base expanding to 28,000 paid subscribers. In database services, SQL Database hyperscale revenues increased nearly 75%, while Cosmos DB grew 50%.

Financial Performance

Gross profit reached $55.3 billion, up 15.6% year over year. The gross margin contracted to 68% from the prior year, driven by AI infrastructure investments and growing AI product usage, partially offset by ongoing efficiency gains in Azure and Microsoft 365 Commercial cloud operations.

Operating expenses increased 5% (4% in cc), driven by investments in cloud and AI engineering, including compute capacity expansion and AI talent acquisition to support product development across the portfolio. Operating margins improved year over year to 47% and exceeded internal projections, supported by stronger-than-anticipated results in high-margin businesses.

Productivity & Business Process operating income rose 22% to $20.6 billion. Intelligent Cloud operating income increased 27.85% to $13.9 billion. More Personal Computing's operating income reached $3.8 billion, down 2.9% year over year.

Capital Expenditure and Infrastructure

Capital expenditures totaled $29.9 billion in the fiscal second quarter. Microsoft expects capital expenditure to decrease sequentially in the fiscal third quarter due to normal variability from cloud infrastructure buildouts and the timing of delivery of finance leases. The company anticipates the mix of short-lived assets to remain similar to second-quarter levels as it works to close the gap between demand and available supply.

As of Dec. 31, 2025, Microsoft maintained total cash, cash equivalents and short-term investments of $89.5 billion compared with $102.1 billion as of Sept. 30, 2025.

Long-term debt (including current portion) was $40.3 billion as of Dec. 31, 2025, compared with $43.2 billion as of Sept. 30, 2025.

Cash flow from operations totaled $35.8 billion. Microsoft returned $12.7 billion to shareholders through dividends and share repurchases during the fiscal second quarter, representing a 32% increase year over year.

OpenAI Partnership

The fiscal second quarter reflected net gains from investments in OpenAI totaling $7.6 billion, which increased net income and diluted earnings per share by $7.6 billion and $1.02, respectively. This contrasted with the second quarter of fiscal 2025, when net losses from OpenAI investments decreased net income and diluted earnings per share by $939 million and 12 cents, respectively.

These OpenAI-related impacts create volatility in reported GAAP results, leading the company to provide non-GAAP measures excluding these effects to help investors better understand operational performance. Management emphasized it would provide a future outlook, excluding any impact from OpenAI investments.

Q3 FY26 Outlook

For the third quarter of fiscal 2026, the company expects total company revenues between $80.65 billion and $81.75 billion, suggesting growth of approximately 15% to 17%. The company anticipates that operating margins will be down slightly year over year.

The Productivity and Business Processes segment is expected to generate revenues between $34.25 billion and $34.55 billion, indicating growth of 14% to 15%. Within this segment, Microsoft 365 commercial cloud revenue growth is projected to be 14-15% in cc, with ARPU growth again driven by E5 and Microsoft 365 Copilot. LinkedIn revenues are expected to grow approximately 10%, while Dynamics 365 revenue growth should

reach the mid-to-high teens percentage range.

For the Intelligent Cloud segment, revenues are projected between $32.65 billion and $32.95 billion, suggesting growth of approximately 27% to 28%. Azure and other cloud services revenue growth is expected to reach approximately 37% to 38% in cc, as demand continues to significantly exceed available capacity. The company now expects to remain capacity-constrained through at least fiscal year-end, with demand exceeding current infrastructure buildout, resulting in lost revenue opportunities for Azure.

For the More Personal Computing segment, revenues are expected in the range of $13.95 billion to $14.45 billion. Windows OEM revenues are expected to decline in the low to mid-single digits, despite continued momentum from Windows 10 end of support, as growth rates will be impacted by elevated inventory levels at OEMs expected to decline through the quarter. In gaming, Xbox content and services revenues are expected to decline in the low to mid-single digits.

The company now expects fiscal 2026 operating margins to rise slightly for the full year, aided by first-half investment prioritization and favorable impacts from revenue mix shifts in Windows OEM and commercial on-premises businesses.

With 900 million monthly active users of AI features and more than 150 million monthly active Copilot users, Microsoft has established significant scale in AI adoption. The challenge ahead involves balancing infrastructure capacity expansion with profitable growth while maintaining leadership positions across productivity software, cloud infrastructure, and emerging AI platforms.

Recent News

On Feb. 24, Microsoft announced a suite of new AI tools at MWC 2026 to help telecom providers boost ROI, automate operations, optimize networks, and enhance customer experiences with Azure-powered intelligence.

On Feb. 18, Microsoft highlighted six renewable energy projects worldwide that enabled it to meet its 2025 goal of matching 100 % of its datacenter and operations electricity use with clean power, including solar, wind and hydro partnerships across multiple continents.

On Feb. 12, Microsoft announced it will expand AI skilling in Saudi Arabia to help 3 million people acquire AI skills by 2030, launching free educator credentials and boosting national workforce readiness under Vision 2030.

On Jan. 26, Microsoft unveiled the Maia 200 next-generation AI inference accelerator, boosting Azure's AI performance and efficiency while reducing costs and challenging Nvidia's dominance in cloud AI hardware.

On Jan. 21, Microsoft unveiled Rho-alpha, a new robotics model from Microsoft Research that translates natural-language commands into precise bimanual robot actions with advanced sensing and human-feedback learning for adaptable Physical AI.

On Jan. 14, Microsoft announced RedVDS, a global cybercrime subscription service used to run phishing, business email compromise and fraud schemes.

On Jan. 5, Microsoft announced it has acquired AI-driven data engineering startup Osmos to accelerate autonomous data engineering within Microsoft Fabric, integrating Osmos's agentic AI to automate data prep and boost analytics efficiency.

On Dec. 11, Microsoft Research unveiled Agent Lightning, enabling reinforcement learning in AI agents without code changes, allowing agents to improve through real-world feedback while preserving existing architectures.

On Dec. 2, Microsoft announced quarterly dividend of 91cents per share, payable on March 13, 2026, to shareholders of record as of Feb. 19, 2026.

Valuation

Microsoft shares are down 21.2% in the past six months and up by 1.2% in the trailing 12-month period. In the past six months, stocks in the Zacks sub-industry have declined 24.7%, while the Zacks Computer and Technology sector has increased 10.2%. In the past year, the Zacks sub-industry has declined 5.8% and sector gained 30.2%.

The S&P 500 index is up 8.7% in the past six months and up 19.5% in the past year.

The stock is currently trading at 22.16X forward 12-month earnings compared with 22.2X for the Zacks sub-industry, 25.68X for the Zacks sector and 22.72X for the S&P 500 index.

Over the past five years, the stock has traded as high as 39.11X and as low as 21.26X, with a five-year median of 30.58X. Our Neutral recommendation indicates that the stock will perform in line with the market. Our $422 price target reflects 23.27X forward 12-month earnings.

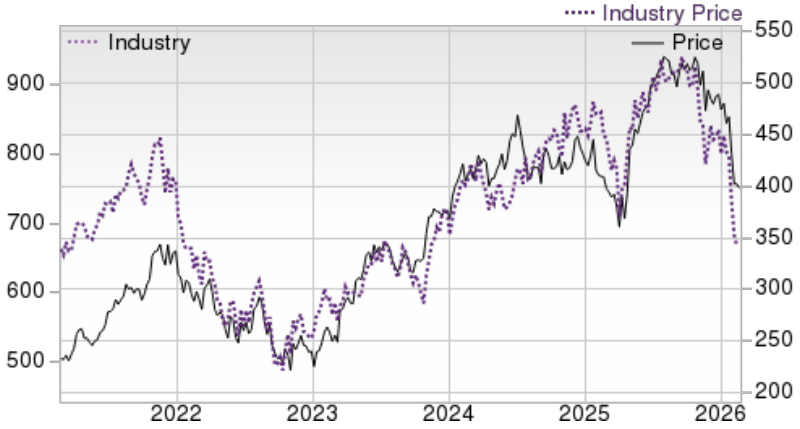
The table below shows summary valuation data for MSFT

Valuation Multiples - MSFT

		Stock	Sub-Industry	Sector	S&P 500
P/E F12M	Current	22.16	22.2	25.68	22.72
	5-Year High	39.11	35.33	29.93	23.8
	5-Year Low	21.26	21.91	18.71	15.73
	5-Year Median	30.58	30.27	26.28	21.23
P/S F12M	Current	8.33	6.97	6.51	5.25
	5-Year High	14	10.02	7.41	5.63
	5-Year Low	7.19	5.53	4.33	3.82
	5-Year Median	10.63	8.44	6.38	5.07
EV/Sales TTM	Current	9.59	7.53	8.06	5.53
	5-Year High	14.16	11.53	8.42	5.83
	5-Year Low	7.56	6.18	4.23	3.76
	5-Year Median	11.84	9.64	6.91	5.11

As of 02/26/2026 *Source: Zacks Investment Research*

Industry Analysis[1] Zacks Industry Rank: Top 34% (82 out of 243)



Top Peers[1]

Company (Ticker)	Rec	Rank
SAP SE **(SAP)**	Outperform	3
Adobe Inc. **(ADBE)**	Neutral	3
Salesforce, Inc. **(CRM)**	Neutral	2
Dassault Systemes SA **(DASTY)**	Neutral	4
Intuit Inc. **(INTU)**	Neutral	4
Oracle Corporation **(ORCL)**	Neutral	3
Synopsys, Inc. **(SNPS)**	Neutral	4
SS&C Technologies Holdings, Inc. **(SSNC)**	Neutral	2

Industry Comparison[1] Industry: Computer - Software

	MSFT	X Industry	S&P 500	CRM	ORCL	SAP
				Industry Peers		
Zacks Recommendation (Long Term)	Neutral	-	-	Neutral	Neutral	Outperform
Zacks Rank (Short Term)	3	-	-	2	3	3
VGM Score	C	-	-	C	D	D
Market Cap	2,983.02 B	5.31 B	41.35 B	186.90 B	431.86 B	251.45 B
# of Analysts	18	4	22	19	15	8
Dividend Yield	0.91%	0.00%	1.35%	0.83%	1.33%	0.90%
Value Score	D	-	-	C	D	D
Cash/Price	0.03	0.06	0.04	0.07	0.05	0.04
EV/EBITDA	18.56	11.25	14.76	14.14	21.42	16.59
PEG Ratio	1.80	1.52	2.06	1.02	1.06	2.26
Price/Book (P/B)	7.63	3.78	3.67	3.11	14.18	4.91
Price/Cash Flow (P/CF)	21.96	13.29	14.95	14.40	22.48	26.22
P/E (F1)	23.67	17.15	19.54	15.36	20.17	24.00
Price/Sales (P/S)	9.77	3.78	3.19	4.50	7.08	6.04
Earnings Yield	4.22%	5.80%	5.11%	6.51%	4.96%	4.17%
Debt/Equity	0.09	0.17	0.57	0.14	3.28	0.13
Cash Flow ($/share)	18.29	3.54	9.62	13.85	6.69	7.81
Growth Score	C	-	-	B	D	F
Hist. EPS Growth (3-5 yrs)	14.78%	14.18%	7.62%	35.01%	4.88%	3.13%
Proj. EPS Growth (F1/F0)	24.41%	17.05%	9.63%	3.75%	23.55%	22.56%
Curr. Cash Flow Growth	23.15%	9.82%	7.63%	11.82%	-1.88%	35.09%
Hist. Cash Flow Growth (3-5 yrs)	18.96%	13.41%	8.25%	27.86%	5.53%	3.29%
Current Ratio	1.39	1.33	1.19	0.98	0.91	1.17
Debt/Capital	8.31%	14.49%	38.14%	12.33%	76.65%	11.75%
Net Margin	39.04%	18.19%	12.77%	17.96%	25.28%	19.92%
Return on Equity	32.34%	23.60%	17.16%	15.28%	70.60%	16.52%
Sales/Assets	0.49	0.51	0.53	0.43	0.34	0.53
Proj. Sales Growth (F1/F0)	16.10%	8.63%	5.36%	10.80%	16.60%	14.80%
Momentum Score	B	-	-	D	B	A
Daily Price Chg	0.28%	1.64%	-0.54%	4.03%	1.64%	3.24%
1 Week Price Chg	-1.02%	0.00%	0.68%	-2.40%	-7.53%	-0.95%
4 Week Price Chg	-7.33%	-5.37%	-0.86%	-6.82%	-11.06%	2.23%
12 Week Price Chg	-16.46%	-18.56%	0.75%	-19.39%	-29.87%	-16.62%
52 Week Price Chg	2.34%	-17.16%	17.87%	-32.36%	-8.77%	-25.46%
20 Day Average Volume	40,372,840	531,012	3,260,352	14,746,384	28,481,044	3,451,651
(F1) EPS Est 1 week change	0.00%	0.00%	0.00%	0.00%	0.00%	1.88%
(F1) EPS Est 4 week change	3.05%	0.00%	0.10%	0.01%	-0.05%	2.77%
(F1) EPS Est 12 week change	3.23%	1.89%	0.31%	1.24%	10.83%	3.27%
(Q1) EPS Est Mthly Chg	4.19%	0.00%	-0.05%	0.00%	0.00%	3.51%

Zacks Stock Rating System

We offer two rating systems that take into account investors' holding horizons: Zacks Rank and Zacks Recommendation. Each provides valuable insights into the future profitability of the stock and can be used separately or in combination with each other depending on your investment style.

Zacks Recommendation

The Zacks Recommendation aims to predict performance over the next 6 to 12 months. The foundation for the quantitatively determined Zacks Recommendation is trends in the company's estimate revisions and earnings outlook. The Zacks Recommendation is broken down into 3 Levels; Outperform, Neutral and Underperform. Unlike many Wall Street firms, we have an excellent balance between the number of Outperform and Neutral recommendations. Our team of 70 analysts are fully versed in the benefits of earnings estimate revisions and how that is harnessed through the Zacks quantitative rating system. But we have given our analysts the ability to override the Zacks Recommendation for the 1200 stocks that they follow. The reason for the analyst over-rides is that there are often factors such as valuation, industry conditions and management effectiveness that a trained investment professional can spot better than a quantitative model.

Zacks Rank

The Zacks Rank is our short-term rating system that is most effective over the one- to three-month holding horizon. The underlying driver for the quantitatively-determined Zacks Rank is the same as the Zacks Recommendation, and reflects trends in earnings estimate revisions.

Zacks Style Scores

The Zacks Style Score is as a complementary indicator to the Zacks rating system, giving investors a way to focus on the highest rated stocks that best fit their own stock picking preferences.

Academic research has proven that stocks with the best Value, Growth and Momentum characteristics outperform the market. The Zacks Style Scores rate stocks on each of these individual styles and assigns a rating of A, B, C, D and F. We also produce the VGM Score (V for Value, G for Growth and M for Momentum), which combines the weighted average of the individual Style Scores into one score. This is perfectly suited for those who want their stocks to have the best scores across the board.

Value Score	D
Growth Score	C
Momentum Score	B
VGM Score	C

As an investor, you want to buy stocks with the highest probability of success. That means buying stocks with a Zacks Recommendation of Outperform, which also has a Style Score of an A or a B.

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